Compliance Issue Review Guidelines

Introduction

This document establishes internal guidelines for managing potential compliance concerns at HarborPoint Community Bank. It provides a consistent framework for receiving, evaluating, and handling suspected issues in a controlled and well-documented manner. The guidance supports coordination across Compliance, Legal, HR, Internal Audit, and business line leadership. These standards are intended to protect the bank, its clients, and employees while meeting regulatory expectations.

Regulatory Compliance Governance Framework

Within HarborPoint's Regulatory Compliance Governance Framework, the investigation workflow begins only after a new matter is opened in the Compliance Case Portal (CCP) using Form CP-101 and all required intake details are captured in the case record. The assigned investigator then reviews the intake narrative and supporting information to determine the appropriate concern type for governance routing and reporting. If the facts indicate BSA/AML exposure, potential sanctions issues, or potentially suspicious transaction activity, the case is designated as a Financial Crime matter to ensure escalation through the bank's financial crimes oversight and monitoring protocols. All other allegations are treated as Regulatory/Conduct concerns, and the investigator selects the closest applicable policy category in CCP to align the case with the correct standard, owner, and control library. This classification must be recorded in the case header/metadata, and any required policy-category fields must be completed to support downstream workflow rules, management reporting, and exam readiness. Consistent tagging at intake reduces rework, enables timely triage and appropriate specialist involvement, and strengthens HarborPoint's ability to demonstrate disciplined compliance governance to regulators and auditors.

Conclusion

Consistent handling of compliance concerns helps ensure timely escalation, appropriate controls, and credible outcomes. Following these guidelines promotes fairness, preserves confidentiality, and reduces operational and regulatory risk. Clear documentation and aligned decision-making support effective remediation and ongoing monitoring. Adherence to this manual strengthens HarborPoint's compliance culture and accountability across business lines.